L3Harris Technologies (NYSE: LHX)

Industrials: Defense Contractor

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Initiating Coverage on LHX at $418.47 Target

Market Outperform
Target Price $418.47

Suitability	Moderate Risk/Growth

MARKET DATA

Current Price	$315.80
52-Week Range	$214.10 – $379.23
Market Cap	$57.63B
Enterprise Value	$67.0B
Current Net Debt	$9.4B
EPS	$9.22
Beta	0.75

KEY FINANCIAL METRICS

	2024A	2025A	2026E
Revenue	$21,325	$21,865	$23,650
% Growth	*9.8%*	*2.5%*	*8.2%*
Net Income	$1,522	$1,606	$2,200
% Growth	*30.2%*	*5.5%*	*37.0%*
EBITDA	$3,207	$3,334	$3,700
% Growth	*23.7%*	*4.0%*	*(11.0)%*
FCF	$2,151	$2,682	$2,800
% Change	*30.6%*	*24.7%*	*(4.4)%*

KEY MULTIPLES

VALUATION	
P/E	34.3x
EV/Sales	3.06x
P/B	2.93x
P/CF	18.5x
LIQUIDITY	
Current Ratio	1.19x
Cash Ratio	0.15x
Quick Ratio	0.83x
LEVERAGE	
Debt/Assets	25.4%
Debt/Equity	53.2%
Net Debt/EBITDA	2.8x
EFFICIENCY	
Total Asset Turnover	0.53x
Return on Equity	8.2%

Source(s): FactSet, L3Harris Technologies, Inc. Filings
All figures in millions of $USD except per share values.

OUTLOOK

We initiate coverage of L3Harris Technologies (LHX) with a BUY rating and a $418 target price, implying approximately 18% upside from current price levels. With expanding exposure to missile propulsion, space-based tracking, and secure communications, L3Harris has strategically positioned itself at the center of sustained U.S. and allied defense modernization priorities. Following the 2023 acquisition of Aerojet Rocketdyne and continued execution of its operational efficiency initiatives, the company has deepened its role in long-cycle missile and strategic defense programs while improving margin trajectory and cash flow visibility, supported by an approximately $34B contracted backlog.

With integration milestones on track and propulsion capacity ramping, we see a clear path to multiple expansion as execution progresses. We believe the durability of L3Harris's earnings profile and expanding propulsion capacity are not fully reflected in current trading levels. While shares have participated in the broader defense sector rally, LHX trades modestly below peer median valuation multiples, and our DCF analysis supports intrinsic value above the current share price.

Key Points

Strategic Evolution and Modernization Alignment - Formed through the 2019 merger of L3 Technologies and Harris Corporation, L3Harris Technologies has evolved into a technology-driven defense contractor that provides mission-critical communications, sensing, electronic warfare, and missile propulsion systems. The merger advantageously enabled L3Harris to guarantee its customers reliable end-to-end solutions and integrated systems, elevating the company to a higher level in the competition for larger-scale, integrated defense contracts. The 2023 acquisition of Aerojet Rocketdyne was a strategic move to streamline and reposition its portfolio, increasing exposure to missile propulsion and hypersonic defense initiatives. Recent portfolio simplification and segment realignment further position L3Harris to align with long-term U.S and allied defense modernization priorities

Exposure to Structural Defense Growth - L3Harris operates at the center of evolving military priorities, including space-based missile tracking, secure communications, electronic warfare, and missile propulsion systems critical to modern rearmament efforts. Warfare is becoming increasingly information-centric, and advantage now hinges on early threat detection, secure communication, and electronic resilience. L3Harris provides capabilities that directly align its portfolio with the current doctrinal evolution. Furthermore, U.S. and allied defense budgets have trended upwards in recent years, with a particular emphasis on high-technology domains, reinforcing L3Harris's exposure to sustained modernization investment rather than short-term procurement spikes.

Strong Backlog and Margin Expansion - With approximately $34 billion USD in backlog, of which roughly 77% comes from U.S. Department of War (formerly called U.S. Department of Defense) spending, L3Harris and its investors benefit from significant multi-year revenue visibility. Concentration risk is mitigated by the company's extensive capabilities and diversified program base. Additionally, a $1.2B cost-saving initiative has steadily pushed their operating margins to the mid-teens. The combination of contracted revenue and improving operating efficiency supports stable free cash flow generation.

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Company Overview and Strategic Evolution

L3Harris Today: A Modern Defense Electronics Platform

L3Harris Technologies is a forward-facing, technology-driven defense contractor that generates over $21B in annual revenue, providing integrated solutions to customers in more than 100 countries. The company operates in three primary sectors with a focus on space and mission systems, secure communications, and missile propulsion, all of which are important in modern data-centric warfare.

Unlike traditional defense primes that manufacture aircraft, ships, or armored vehicles, L3Harris primarily provides communications, sensing, electronic warfare, and propulsion systems that enable those platforms to operate effectively. Its technologies facilitate early threat detection, secure data transmission, and operational coordination across air, sea, space, and cyber domains, serving as the "backbone" of military operations.

This company recognizes that modern warfare is rapidly becoming more complex, and L3Harris makes it its mission to be at the forefront of innovation. L3Harris embraces a "Trusted Disruptor" identity, signalling its intent to challenge legacy industry models and aggressively pursue next-generation defense capabilities.

Management Overview

Christopher E. Kubasik, Chairman & Chief Executive Officer- Christopher Kubasik (age 64) has served as chairman and chief executive officer of L3Harris since June 2021, following nearly two years as vice chairman, president, and chief operating officer after the 2019 merger of L3 Technologies and Harris Corporation. Prior to the merger, Kubasik served as the chairman and chief executive officer of L3 Technologies, which he joined in 2015. Earlier in his career, he spent over 15 years at Lockheed Martin, ultimately serving as president and chief operating officer, and began his career at Ernst & Young, where he was named a partner in 1996. Kubasik holds a bachelor's degree from the University of Maryland's Smith School of Business, an Executive Engineering Certificate from Carnegie Mellon University, and has completed a Systems Acquisition Management Program at the Defense Acquisition University at Fort Belvoir.

Kenneth "Ken" Sharp, Senior Vice President and Chief Financial Officer- Although Kenneth Sharp (age 55) is brand new to the L3Harris Executive team (joined March 2026), he brings over 30 years of finance experience across the defense and technology sectors. Most recently, Sharp served as executive vice president and chief financial officer at Peraton, where he strengthened liquidity, improved profitability, and delivered significant improvements in working capital. Prior to Peraton, Sharp held chief financial officer roles at DXC Technology and senior finance positions at Northrop Grumman, Orbital ATK, and Leidos. As a U.S. Marine Corps veteran, Sharp provides a meaningful insight into his role at L3Harris, having served in Operations Desert Shield and Desert Storm. He holds a B.S. in Accounting from the University of Maryland, an Executive MBA from The George Washington University, and is a Certified Public Accountant. His background in complex M&A integrations is directly relevant as L3Harris manages the Aerojet integration and prepares the Missile Solutions segment for its planned IPO.

Kenneth "Ken" Bedingfield, President, Missile Solutions- Ken Bedingfield (age 52) joined L3Harris in 2023 and originally served as the senior vice president and chief financial officer before transitioning to lead the newly formed Missile Solutions segment, which is arguably the most central segment to L3Harris's positioning amid surging global missile demand. Before joining L3Harris, Bedingfield served as the chief executive officer of Epirus, Inc., and spent eight years at Northrop Grumman as corporate chief financial officer. He also spent 17 years at KPMG as national client leader of its U.S. Aerospace and Defense audit practice. He holds a B.S. in Accounting from the University of Maryland and is a Certified Public Accountant. Bedingfield's expertise makes him well-suited to guide Missile Solutions through its planned IPO.

Samir Mehta, President, Space & Mission Systems and Communications & Spectrum Dominance- Samir Mehta (age 52) joined L3Harris in January 2023 as President of Communication Systems and was subsequently appointed to oversee both the Space & Mission Systems and Communications & Spectrum Dominance segments, collectively leading nearly 34,000 employees across L3Harris's two largest revenue-generating businesses. Prior to his role at L3Harris, Mehta served as President of Advanced Structures at Collins Aerospace (Raytheon Technologies), and before that spent more than 17 years at Sikorsky Aircraft, most recently as President of Defense Systems & Services, overseeing a $4 billion business. He holds a Juris Doctor and a Master of Public Administration from the University of Connecticut.

Tania Hanna, Vice President, Government & Customer Relations- Tania Hanna (age 58) oversees L3Harris's relationships with the U.S. Congress, the executive branch, and crucial defense industry associations, as well as global business development and external communications. Hanna has held government relations roles at the company since 2003, predating the merger, and served as vice president of government relations at legacy Harris Corporation. Earlier in her career, she was a senior attorney at the Federal Communications Commission and a senior associate at a Washington, D.C. law firm. Hanna holds a B.S. in International Politics from Georgetown University, a graduate degree from the University of Antwerp, an M.S. in Organizational Leadership from Norwich University, and a Juris Doctor from American University. Her longstanding D.o.W. and Congressional relationships are a direct contributor to the company's contract wins and $34B backlog.

Exhibit 01:

Name	Position	Insider Holdings (%)	Salary	Total Comp.
Christopher E. Kubasik	Chairman & Chief Executive Officer	0.114%	$1,582,788	$20,839,223
Kenneth Sharp	Senior Vice President & Chief Financial Officer	0%	$875,000	$9,500,000
Kenneth Bedingfield	President, Missile Solutions	< 0.01%	$889,664	$8,262,852
Samir Mehta	President, Space & Mission Systems and Communications & Spectrum Dominance	< 0.01%	$990,000	$4,491,186
Tania Hanna	Vice President, Government & Customer Relations	-	-	-

Legacy Foundations & 2019 Merger

L3 Technologies and Harris Corporation formed L3Harris Technologies through a merger of equals between two established defense electronic providers with complementary capabilities.

Legacy L3 Technologies was a leading mid-tier defense contractor with a strong focus on intelligence, surveillance, and reconnaissance (ISR) systems, aerospace electronics, and sensor technologies. The sensors, cameras, and electronics were designed for use on military aircraft, submarines, and drones, serving as the “eyes and ears” of these platforms and enabling them to detect, track, and surveil targets. The company was deeply embedded in classified U.S. government programs, supplying electro-optical sensors, electronic warfare systems, and avionics to all branches of the armed forces. L3 was less of a household name in defense precisely because much of its work was behind the scenes, integrating its hardware into larger platforms built by the major primes.

Legacy Harris Corporation was fundamentally a communications technology company. It manufactured sophisticated radios that soldiers rely on in combat to communicate securely without being jammed or intercepted by adversaries. Beyond battlefield radios, Harris built the ground systems that communicate with military satellites, supplied night-vision technology to U.S. and allied forces, and maintained a strong international business, selling secure communications equipment to partner militaries across the Middle East, Europe, and the Asia-Pacific.

As defense procurement shifted toward integrated multi-domain systems, the combination of L3's sensor and ISR capabilities with Harris's communications and satellite expertise created a more comprehensive defense electronics platform than either company could offer on its own. A military customer that previously had to go to two separate vendors for battlefield sensors and secure communications could now get both from a single, deeply embedded contractor. The merger expanded L3Harris's eligibility for larger, more complex programs that require end-to-end solutions across air, land, sea, and space, and strengthened its competitive positioning within an increasingly technology-driven defense landscape where scale and breadth of capability matter more than ever.

Post-Merger Execution & Earnings Durability

Following the 2019 merger, investors were skeptical about whether the combined company could successfully integrate operations and deliver the projected cost savings. Large industrial mergers often face challenges related to eliminating duplication, streamlining operations, and aligning management teams. Hence, early performance was closely monitored to determine whether the anticipated efficiencies would lead to actual margin improvements.

Despite initial concerns, the company has largely delivered on integration targets. In 2022, management launched LHX NeXt, a multi-year operational transformation program aimed at achieving cumulative cost savings of $1.2 billion by the end of 2025. The initiative was built around three main levers: reducing the company's real estate footprint by consolidating facilities, streamlining its corporate structure by cutting layers of management and back-office overhead, and simplifying its supply chain by reducing the number of suppliers it relied on and internalizing certain components previously sourced externally. In practice, this meant closing or consolidating dozens of offices and manufacturing sites, reducing headcount in non-operational functions, and reinvesting a portion of the savings into higher-margin programs. By the end of fiscal 2024, L3Harris had already exceeded its annual savings target, achieving $800 million in cumulative savings ahead of schedule. While margins faced temporary pressure following the Aerojet acquisition (discussed in the following subsection), L3Harris maintained stable profitability in the low-to-mid-teens, suggesting that its management's deliberate, strategic actions drove strong yet stable growth.

Aerojet Acquisition & Missile Exposure (2023)

The 2023 acquisition of Aerojet Rocketdyne marked a meaningful evolution in L3Harris’s portfolio. Legacy Aerojet Rocketdyne was a leading supplier of rocket motors and propulsion systems for missile and space applications, with exposure to hypersonic and strategic defense programs and longstanding relationships with the U.S. Department of War. The transaction extended L3Harris’s exposure beyond defense electronics into core missile propulsion and hypersonic technologies. By integrating propulsion capabilities, L3Harris expanded its participation in the missile value chain and positioned L3Harris for greater exposure to rearmament and sustained modernization investments.

Executive Summary

Products

The company historically reported results across four segments: Space & Airborne Systems, Integrated Mission Systems, Communication Systems, and Aerojet Rocketdyne. As of January 2026, it transitioned to a three-segment structure to better align its offerings and strategy. Under this new structure, Space & Airborne Systems and Integrated Mission Systems have been consolidated into Space & Mission Systems (SMS), reflecting their combined focus on mission hardware and system integration. Communication Systems has been restructured into Communication & Spectrum Dominance (CSD), emphasizing secure and resilient communications in contested environments. Aerojet Rocketdyne now forms the core of Missile Solutions (MSL), concentrating on propulsion, energetics, and missile-related technologies.

SMS Segment: SMS includes capabilities that support space and airborne missions, particularly where sensing, processing, and missionization are central. The segment can be viewed as the "mission hardware & integration" layer space and airborne payloads, mission electronics, avionics, and systems that convert sensor data for national security customers. SMS also includes programs where L3Harris acts as a systems integrator, combining sensors, processing, communications, and software into complete operational systems. This means the company often delivers fully integrated solutions rather than just individual components.

CSD Segment: CSD centers on secure, resilient communications and the ability to operate in contested spectrum environments. This includes tactical radios, waveforms, satellite communications terminals, data links, and related networking products designed to maintain voice and data connectivity under jamming, interference, and electronic threats.

MSL Segment: MSL is the propulsion and energetics-focused segment anchored by the legacy Aerojet Rocketdyne portfolio. It includes propulsion technologies and related systems supporting missile defense, strategic deterrence, hypersonic, and tactical missile programs, as well as space propulsion and power systems supporting national security and exploration missions. MSL differs structurally from the other segments because it is more manufacturing- and materials-intensive, with execution closely tied to production throughput, capacity, and supply chain reliability.

Competition

Domestic Competition:

L3Harris competes directly with large U.S. defense primes, including Lockheed Martin, RTX Corp (formerly Raytheon Technologies), Northrop Grumman, General Dynamics, and Boeing, particularly in sensors, avionics, electronic warfare, communications, and missile systems. While these larger primes benefit from broader platform control and scale advantages, L3Harris differentiates itself by focusing on high-margin, mission-critical subsystems rather than large-scale defense platforms, allowing for deeper integration across multiple programs. It also benefits from diversified exposure across air, land, sea, space, and cyber, reducing reliance on any single contract. Additionally, its agile development, and targeted acquisitions create high barriers to entry and support long-term growth.

International Competition:

L3Harris also competes with major international defense contractors such as BAE Systems, Thales, and other European and allied defense electronics firms. Foreign competitors may benefit from domestic government backing, localized industrial policies, and strategic national defense priorities that favor local suppliers. Additionally, in export markets, procurement decisions are often influenced by geopolitical alignment, offset requirements, and domestic industrial participation, which can affect L3Harris' competitiveness abroad.

Strategic Partnerships & Co-opetition:

Despite competing with many of these firms, L3Harris frequently collaborates with them on major defense programs. For example, the company supplies communications systems, sensors, avionics, and propulsion technologies that are integrated into platforms led by Lockheed Martin, Northrop Grumman, Boeing, and Palantir. This "co-opetition" model allows L3Harris to participate across multiple competing platforms while reducing platform-level risk exposure. As modern defense programs become increasingly multi-domain and technology-intensive, these partnership ecosystems remain a key component of the company's competitive positioning.

Customers

L3Harris serves a highly concentrated but mission-critical customer base primarily within the defense, intelligence, and space sectors, with the majority of revenue derived from U.S. government-related customers.

U.S. Government Customers: The company's largest customer is the U.S. Department of War (DoW), along with other federal agencies such as the U.S. Air Force, U.S. Navy, U.S. Army, Space Force, Department of Homeland Security, and NASA. A significant portion of revenue is generated either directly from U.S. government contracts or indirectly as a subcontractor to major prime contractors on government programs.

Prime Contractor & Platform Customers: In addition to direct government sales, L3Harris supplies mission systems, communications equipment, avionics, and propulsion technologies to major defense companies including Lockheed Martin, Northrop Grumman, RTX (Raytheon Technologies), Boeing, and General Dynamics. In these relationships, L3Harris acts as a critical subsystem provider, embedding its technologies into larger platforms such as fighter aircraft, missile defense systems, naval vessels, and space vehicles.

International & Allied Customers: L3Harris also serves allied foreign governments through direct commercial sales and U.S. Foreign Military Sales (FMS) programs. International customers include defense ministries across Europe, the Middle East, and Asia-Pacific. While international revenue represents a smaller share of total sales compared to U.S. government demand, global defense modernization efforts and geopolitical tensions continue to support steady demand for communications, ISR systems, and missile propulsion technologies.

Product Revenue Segment

CFY2025 revenue was US$21.865B. Under the legacy four-segment reporting structure used for FY2025 external reporting, full-year segment revenues were Communication Systems (CS) US$5.673B, Integrated Mission Systems (IMS) US$6.630B, Space & Airborne Systems (SAS) US$6.946B, and Aerojet Rocketdyne (AR) US$2.845B; these segment totals reconcile to consolidated revenue after intersegment eliminations. This legacy view is useful for near-term historical modelling because it aligns with audited FY2025 segment disclosure.

Exhibit 02:

FY2025 revenue comparison	Revenue (US$m)	% of total
Legacy reporting (4 segments)		
Communication Systems (CS)	5,673	25.9%
Integrated Mission Systems (IMS)	6,630	30.3%
Space & Airborne Systems (SAS)	6,946	31.8%
Aerojet Rocketdyne (AR)	2,845	13.0%
Intersegment eliminations (residual; calculated)	(229)	(1.0%)
Total revenue	**21,865**	**100.0%**

Source(s): L3Harris Company Filings, VIG Research

Industry and Competitive Landscape

Global Defense Market Demand

The defense industry is driven by government budgets and geopolitical risk, and current demand conditions remain strong. Global military expenditure reached $2.718T in 2024, up 9.4% YoY, which describes as the steepest year-over-year rise since at least 1988. Spending has now increased for 10 consecutive years. The top five spenders (U.S., China, Russia, Germany, India) accounted for 60% of the global total ($1.635T), meaning industry growth has yet to slow down.

For U.S.-exposed contractors like L3Harris, the FY2025 U.S. defense budget framework is a key near-term demand indicator. The FY2025 DoD base budget totals $849.8B, including $167.5B in Procurement and $143.2B in RDT&E, which are the two budget categories most tied to platform modernization and next-generation capability development. DoD's FY2025 messaging emphasizes "Integrated Deterrence," prioritizing capabilities relevant to the pacing challenge posed by China and the acute threat from Russia.

Competitive Players and Partnerships

The competitive landscape is concentrated at the top, supported by barriers to entry such as security clearances, export controls, certification requirements, and long program cycles. Estimates say the Top 100 arms-producing and military services companies generated $679B of combined arms revenue in 2024, representing a 5.9% real-term increase. Within the U.S., L3Harris' closest competitors include Lockheed Martin, RTX, Northrop Grumman, General Dynamics, and Boeing, while internationally the company often competes with BAE Systems, Thales, and Leonardo, particularly in electronics-heavy mission areas such as communications, sensing, electronic warfare, and systems integration.

A defining feature of L3 is its partnerships, where companies compete for prime roles while also supplying one another as subsystem vendors on other programs. L3Harris reflects this model in its customer structure, as 76% of FY2024 revenue was derived from U.S. Government customers (including foreign military sales funded through the U.S. Government), whether directly or through prime contractors, and no other customer exceeded 5% of revenue. Demand visibility is supported by a large, contracted base. L3Harris reported $34.2B of ending backlog at Jan. 3, 2025 (including $23.3B funded backlog) and expects to recognize approximately 45% of associated backlog revenue by end of FY2025 and approximately 75% by end of FY2026, consistent with long-cycle program delivery and competition in defense markets.

Expansion/Infrastructure advancements/Aerojet Integration

When L3Harris completed the acquisition of Aerojet in 2023, it inherited aging facilities with a significant delivery backlog and a supply chain under pressure from both tactical munitions replenishment and long-cycle strategic defense programs like the Sentinel intercontinental ballistic missile and Terminal High Altitude Area Defense missile defense systems. Addressing this required a coordinated, multi-site expansion effort that is still actively underway.

The centerpiece of this effort is a $215.6 million cooperative agreement with the U.S. Department of War under the Defense Production Act Title III program, which provided government funding to expand and modernize Aerojet's facilities across three primary sites. In Camden, Arkansas, L3Harris broke ground on four new solid rocket motor production facilities, including a 60,000 square foot facility that consolidates key production processes under one roof and cuts internal transport distances by 80%. In Orange County, Virginia, L3Harris funded a $41.2 million expansion that constructed new facilities, purchased new equipment, and added 80 employees over three years, with the site designated as a Center of Excellence for small to medium solid rocket motor production. Meanwhile, inert component manufacturing for programs including the Guided Multiple Launch Rocket System and Javelin missile was moved to Huntsville, Alabama, where L3Harris leased a 379,000 square foot facility to handle the expanded workload.

The results of these investments are beginning to show up in the numbers. L3Harris has increased output of Guided Multiple Launch Rocket System motors by nearly 80% through automation and consolidation of production lines. The company has also reduced the delivery backlog it inherited at the time of the Aerojet acquisition by roughly 60%, meaning it is catching up on previously delayed orders and improving its ability to fulfill new ones on time.

The newest facilities use modular factory layouts, robotic assembly cells, and automated casting processes, reflecting a broader push to build more efficient, technology-driven production lines that can scale up with demand without requiring constant reinvestment. L3Harris has committed nearly half a billion dollars to further expand its Camden campus alone, adding over 20 buildings and more than 130,000 square feet of manufacturing and office space.

Catalysts

L3Harris stands to benefit from several catalysts that could drive upside beyond the broader market. One of the most significant is the planned spin-off of its missile solutions unit, supported by a $1 billion investment from the U.S. Department of War. If the Pentagon finalizes this investment and the spin-off proceeds as planned, it could unlock substantial shareholder value by separating a high-growth, government-backed division from L3Harris's legacy operations. This structure would allow the new entity to pursue focused expansion initiatives while providing L3Harris with capital and operational flexibility. However, the realization of this upside is contingent on timely regulatory approval and effective execution of the spin-off, as any delays or integration challenges could postpone the anticipated benefits.

Operational efficiency initiatives also represent a meaningful catalyst. Through its "LHX NeXt" program, L3Harris continues to streamline processes and improve margins across its business units. Successful execution of these initiatives would enhance profitability and free cash flow, which may strengthen its valuation and improve shareholder returns. Overall, the magnitude of this benefit depends on the company's ability to overcome supply chain challenges, control costs, and effectively implement efficiency measures as planned.

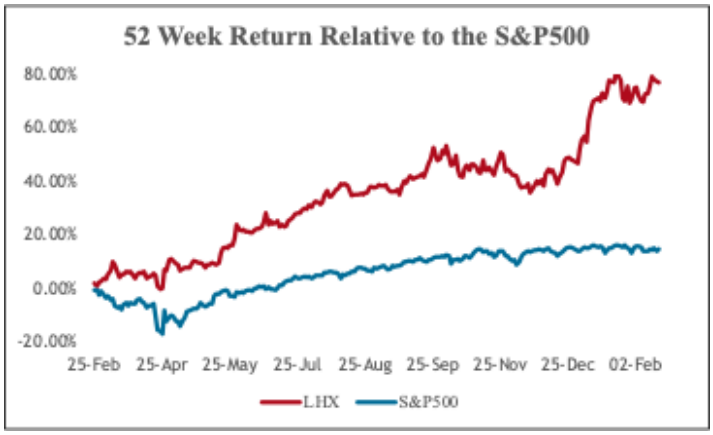
Another key driver is the broader defense spending environment. Geopolitical tensions, including U.S. priorities in the Indo-Pacific and NATO commitments in Europe, have elevated defense budgets, creating opportunities for L3Harris to secure contracts in missile defense, secure communications, and space-based technologies. As congress or allied governments approve additional spending in these areas, the company's robust backlog and book-to-bill ratio suggest that a significant portion of these funds could translate into awarded contracts and revenue growth. However, the timing and allocation of government budgets are not guaranteed, with delays or changes in priorities potentially impacting the expected upside.

Competitive Advantage

L3Harris Technologies maintains durable competitive advantages supported by its technological depth, strong customer relationships, and unique market positioning within its mission-critical defense programs. The company operates in highly specialized markets, where participation requires advanced engineering capabilities, extensive testing and qualification processes, and sustained investment in research and development (R&D). As a result, these markets are protected by structural barriers such as extensive compliance requirements, decades-long customer relationships with its clients, and long development cycles. When each of LHX's systems integrate into platforms such as submarines, missile defense architectures, or satellite systems, replacement risk becomes minimal resulting in high switching costs and recurring sustainable revenue streams.

Beyond its technological capabilities, L3Harris benefits from strong program visibility supported by multi-year contracts and a substantial funded backlog, which enhances cash flow predictability relative to more cyclical industries and competitors. The company's scale also enables it to compete effectively for classified and large-scale programs that require both financial capacity and proven production history. Most recently, the acquisition of Aerojet Rocketdyne has strengthened L3Harris's position in solid rocket propulsion and missile systems, increasing its strategic relevance in a period of heightened global missile defense demand. With its diverse revenue streams, unique market position, and massive scale, LHX has the capability to produce stable margins, consistent free cash flows, and a sustained relevance within the global aerospace and defense industry.

Exhibit 03:



Source(s): L3Harris Company Filings, VIG Research

Investment Risks, Volatility, and Market Challenges

Budget Dependency and Political Risk

L3Harris derives approximately 76% of its revenue from U.S. government customers, creating significant concentration risk tied to federal defense appropriations. Continuing resolutions, or political gridlock in Washington can delay contract awards, slow procurement cycles, and compress near-term revenue. While the long-term trajectory of U.S. defense spending remains upward, year-to-year budget volatility can meaningfully disrupt program timelines and cash flow predictability, particularly for companies with large cost-plus program exposure.

Integration and Execution Risk L3Harris has undergone significant structural change in a short period of time. The 2019 merger between L3 Technologies and Harris Corporation combined two large defense businesses that needed to be fully integrated, and the 2023 acquisition of Aerojet Rocketdyne added further complexity by bringing in a manufacturing-heavy propulsion business that operates quite differently from L3Harris's legacy defense electronics model. Most recently, the company restructured into three new business segments in January 2026.

While management has delivered well against its integration goals so far, this level of ongoing transformation carries real operational risk. If the company falls short of its $1.2 billion cost savings target, experiences margin pressure in the Missile Solutions business, or faces disruption during the transition to its new segment structure, earnings could come in below expectations and weigh on the stock.

Geopolitical and Export Market Risk While geopolitical tensions broadly support higher defense spending and demand for L3Harris's capabilities, they also introduce risk. Rapid shifts in U.S. foreign policy, changes in Foreign Military Sales regulations, or deteriorating relationships with allied customers could impair international revenue.

Backlog and Key Projects

Space Development Agency (SDA): Tranche 3 Contract

L3Harris was awarded a contract valued at around $843 million USD to build 18 infrared tracking satellites for the SDA's Tranche 3 (T3) Tracking Layer. These satellites are designed to support missile warning, tracking, and defense systems and are expected to be launched into low-earth orbit in 2029. The broader T3 contract totaled approximately $3.5 billion for 72 satellites, with L3Harris securing roughly a quarter of the total allocation.

This award positions L3Harris within both space systems and missile defense, two priority areas of U.S. defense modernization. Since the SDA builds this architecture in multiple stages, participation in the T3 could increase the likelihood of future awards as the system expands. The contract further embeds L3Harris within long-term missile defense infrastructure, where competition is limited, and program cycles are long. Importantly, it supports multiyear revenue visibility and reduces program-level volatility and downside risk.

Missile and Propulsion Expansion

After the 2023 Aerojet Rocketdyne acquisition, L3Harris significantly increased its exposure to missile propulsion and solid rocket motor production. The Missile Solutions segment delivered approximately 12% organic revenue growth in 2025 and is expected to generate roughly $4.4 billion in revenue in 2026, with margins in the mid-12% range.

To support rising demand across tactical missile and missile defense programs, L3Harris plans to increase capital expenditures to approximately $600 million in 2026. Management characterizes this investment as a modernization effort and expansion in solid rocket motor production capacity. Expanded propulsion capacity enables L3Harris to capture more demand in a supply-constrained area of the defense market.

Airborne Early Warning (AEW): South Korea Award

In partnering with Bombardier, Israel Aerospace Industries' ELTA Systems, and Korean Air, L3Harris will deliver next-generation airborne early warning and control (AEW&C) aircraft to the Republic of Korea Air Force. These modified Bombardier Global 6500 AEW&C aircraft will be equipped with more accurate, long-range radar systems and will be overall safer and faster than previous models.

The size of the award makes it one of L3Harris's largest recent international contracts and was highlighted by management during its Q4 2025 earnings call as a key contributor to the company's record backlog. This multi-year program contributes to the company's backlog growth and revenue durability, particularly in its Space & Mission Systems portfolio.

Valuation

Through a discounted cash flow (DCF) analysis and comparables company analysis, we recommend L3Harris Technologies (LHX) as a BUY with an expected upside of approximately 18% and a target price of $418.47. Based solely on our DCF, we derived a target price of $445.87, representing an upside of 25.2%, supported by a WACC of 6.07% and a terminal growth rate of 1.5%. A significant portion of the valuation arose from the terminal value, reflecting the company's strong long-term growth prospects driven by its sustained backlog and ongoing product innovation.

Key assumptions underlying our model include consistent historical revenue growth and increasing margins, which project continued expansion and improvements across LHX's core businesses. We anticipate the expansion of gross margins to be supported by the LHX NeXt initiative, a $1.2 billion cost-savings and operational efficiency program. We also expect stronger revenue growth over the next few years to be driven by continued defense spending increases and heightened demand for advanced communications, space, and missile solutions amid evolving geopolitical tensions. Overall, we expect L3Harris' disciplined focus on operational transformation to enhance profitability while maintaining strong backlog visibility.

Additionally, LHX's diverse revenue streams across multiple segments reinforce our bullish outlook for revenue growth. Recent notable contracts, including the $843 million agreement with the Space Development Agency (SDA) to build 18 infrared satellites for the Tranche 3 Tracking Layer and the delivery of advanced communication systems for U.S. Navy submarines, highlight the company's strength in space, communications, and missile solutions. These wins demonstrate both the breadth of L3Harris's capabilities and its ability to capitalize on high-value government and defence contracts.

Exhibit 04: LHX Discounted Cash Flow Valuation

DCF Projections	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	17,814.0	17,062.0	19,419.0	21,325.0	21,865.0	23,395.6	24,565.3	25,793.6	27,083.3	28,572.9
COGS & Other Expenses	(15,718.0)	(14,708.0)	(17,281.0)	(18,656.0)	(19,046.0)	(19,781.0)	(20,957.6)	(22,083.4)	(23,008.4)	(24,135.7)
EBITDA	3,063.0	3,292.0	3,304.0	3,958.0	4,043.0	4,753.7	4,782.0	4,932.7	5,308.8	5,659.9
D&A	(967.0)	(938.0)	(1,166.0)	(1,289.0)	(1,224.0)	(1,139.1)	(1,174.3)	(1,222.4)	(1,234.0)	(1,222.7)
EBIT	2,096.0	2,354.0	2,138.0	2,669.0	2,819.0	3,614.5	3,607.7	3,710.2	4,074.9	4,437.1
Taxes	440.0	212.0	23.0	85.0	326.0	685.3	541.2	556.5	611.2	665.6
NOPAT	1,656.0	2,142.0	2,115.0	2,584.0	2,493.0	2,929.2	3,066.6	3,153.7	3,463.6	3,771.6
(+) D&A	967.0	938.0	1,166.0	1,289.0	1,224.0	1,139.1	1,174.3	1,222.4	1,234.0	1,222.7
(-) Change in NWC	-	205.0	269.0	153.0	(258.0)	731.9	232.9	141.7	187.4	267.6
(-) CAPEX	(342.0)	(252.0)	(449.0)	(408.0)	(424.0)	(447.4)	(469.4)	(515.2)	(524.0)	(554.0)
Unlevered Free Cash Flow	2,281.0	2,623.0	2,563.0	3,312.0	3,551.0	2,889.1	3,538.6	3,719.2	3,986.2	4,172.7
Discount Factor						0.94	0.89	0.84	0.79	0.74
Discounted UFCF						2,723.8	3,145.3	3,116.7	3,149.4	3,108.1

Source(s): CapIQ, FactSet, L3Harris Company Filings, VIG Research

Exhibit 05: Gordon Growth

Gordon Growth	
Terminal Growth Rate	1.5%
Terminal Year UFCF	4,235.3
Discount Rate	6.07%
Terminal Value	92,723.3
Time Period	5
PV of Terminal Value	**69,067.6**

Source(s): FactSet, VIG Research

Exhibit 06: WACC Build-up

WACC	
Market Risk Premium	4.33%
Beta	0.64
Adjusted Market Risk Premium	2.77%
Add: Risk Free Rate of Return	3.73%
Cost of Equity	6.50%
Equity-to-Total-Capital Ratio	*86.67%*
Cost of Debt	4.42%
Effective Tax Rate	26.50%
After-Tax Cost of Debt	3.25%
Target Debt-to-Total-Capital Ratio	*13.33%*
WACC	**6.07%**

Source(s): FactSet, VIG Research

Exhibit 07: Sensitivity Analysis, Target Price on WACC & Terminal Growth Rate

		WACC				
		4.07%	5.07%	6.07%	7.07%	8.07%
Terminal Growth Rate	1.00%	589.18	490.07	425.66	378.79	342.55
	1.25%	617.29	505.40	435.27	385.36	347.32
	1.50%	650.74	522.80	445.87	392.47	352.42
	1.75%	691.27	542.72	457.63	400.19	357.88
	2.00%	741.43	565.79	470.76	408.61	363.74

Source(s): CapIQ, FactSet, VIG Research

Exhibit 08: LHX Comparable Companies Valuation

Company	Ticker	Market Cap	Enterprise Value	LTM Revenue	EBITDA	EPS	Share Price	EV/EBITDA
Northrop Grunman Corporation	NOC	102,688.8	115,686.8	41,954.0	6,820.0	27.74	723.67	16.96x
RTX Corporation	RTX	275,061.6	309,475.6	88,603.0	14,735.0	6.81	204.92	21.00x
General Dynamics Corporation	GD	94,877.3	102,333.3	52,550.0	6,344.0	16.32	351.4	16.13x
Lockheed Martin Corporation	LMT	151,452.6	170,102.6	75,048.0	8,285.0	29.92	658.2	20.53x
TransDigm Group Incorporated	TDG	75,617.0	103,140.0	9,110.0	4,644.0	40.68	1,338.35	22.21x
Howmet Aerospace	HWM	103.482.6	105,953.6	8,252.0	2,388.0	4.59	258.13	44.37x
Huntington Ingallis Corporation	HII	17,171.4	19,378.4	12,484.0	1,130.0	17.39	438.05	17.15x
L3Harris Technologies	**LHX**	**$ 83,377.83**	**$ 77,350.50**	**$ 21,865.00**	**$ 4,043.00**	**11.68x**	**446.63**	**19.13x**
Median								20.77x
Implied Valuation (Share Price)								
Share Price							$	391.07

Source(s): CapIQ, FactSet, L3Harris Company Filings, VIG Research

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